DBS - RHB Research 2026-08-07: Valuations And Share Price To Stay Higher For Longer?

DBS Share Price & Valuation: Will They Stay High In 2026?

- Outlook and guidance on DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' operating income were raised, while the lack of progress in its S$3bn share buyback plan (S$2.6bn still unutilised) may be turned into dividends instead prior to its end in 2027. These factors drive our EPS, DBS' dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) and DBS' target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) upgrades.

> **2Q26 Results Beat Our And Consensus Estimates On Elevated Non-II, Thanks To Robust Wealth Activities.**

- 2Q26 reported PATMI of S$3.1bn (+5% q-o-q, +9% y-o-y) bringing DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' 1H26 earnings to S$6bn (+5% y-o-y) – at 53% of our and ~52% of consensus FY26 estimates. While we still expect a softer 2H26, the 1H achievement was at the higher end of the usual run rate.

- 1H26 ROE was 17.5% (2Q26: 17.9%), while the fully phased-in CET-1 ratio eased to 14.6% (1Q26: 14.8%, 4Q25: 15%) on 3% q-o-q RWA growth and capital returns.

- An interim dividend of 66 cents plus a 15 cents capital return dividend were declared, taking 1H26 DBS's dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) to S$1.62 (1H25: S$1.50).

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Results Highlights.

- 2Q26 operating income rose 2% q-o-q (+6% y-o-y) with NII up 2% q-o-q as asset growth outweighed a 2bps q-o-q NIM decline to 1.87% – the smallest compression in five quarters. This was further supplemented by 2% q-o-q (+21% y-o-y) non-II growth. Wealth fees stayed elevated at S$919m (+1% q-o-q, +42% y-o-y), with wealth AUM rising to S$516bn (1Q26: S$492bn, 2Q25: S$442bn), aided by S$11bn in net new money (+10% q-o-q, flat y-o-y).

- Operating expenses was under control (+2% q-o-q, +3% y-o-y) with 2Q26 CIR improving to 38.5% (1Q26: 38.7%, 2Q25: 39.6%). Bottomline was further boosted by lower loan impairments, thanks to a net S$75m general provisions write back on the repayment of ~S$1bn of weaker credits while the specific provisions (SP) charge was 16bps (+2bps q-o-q, +1bp y-o-y).

- 2Q26 loan growth momentum was strong (+4% q-o-q, +8% y-o-y), partly aided by short term deal-related drawdowns, while asset quality and NPA coverage (130%) were stable q-o-q.

Briefing Highlights.

- FY26 operating income guidance was lifted – total income to exceed (from around) 2025 levels with commercial book non-II growth now at mid-teens (from high single digits) while the FY26F NII gap to 2025 is expected to narrow further in 2H. CIR and SP guidance was unchanged.

- Note: DBS has S$2.6bn left of its S$3bn share buyback programme (ending in 2027). Amid continued strength of DBS's share price (https://sginvestors.io/sgx/stock/d05-dbs/share-price-history), it may convert this into capital return dividends – worth ~92 cents/share.

- Lastly, on China’s recent rules on financial activities, DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) does not think the impact would be too significant as it is a regulated entity. It is well-positioned to benefit

from both onshore and offshore activities, and has been winning offshore market share.

> **FY26-28F PATMI Raised By 4%, 6% And 8% On Stronger Non-II.**

- We also increase FY27F dividend forecast by 28% as we now assume the entire S$2.6bn unutilised share buyback programme will be returned as dividends.
- Keep BUY, new DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) at S$81.20 from S$75.70, 8% upside with 5.5% FY27F yield. Our target price (which incorporates an unchanged 2% ESG premium) rises to S$81.20 on a higher ROE assumption of 17.5% (from 16.75%).

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

Analyst: Singapore Research
(https://www.rhbgroup.com/)

Previous report by RHB:
2026-07-14 **DBS - Expecting Resiliency For Upcoming 2Q26 Results; BUY** (https://sginvestors.io/analysts/research/2026/07/dbs-rhb-research-2026-07-14).

Price targets by 4 other brokers at **DBS Target Prices (https://sginvestors.io/sgx/stock/d05-dbs/target-price)**.

Listing of research reports at **DBS Analyst Reports (https://sginvestors.io/sgx/stock/d05-dbs/analyst-report)**.

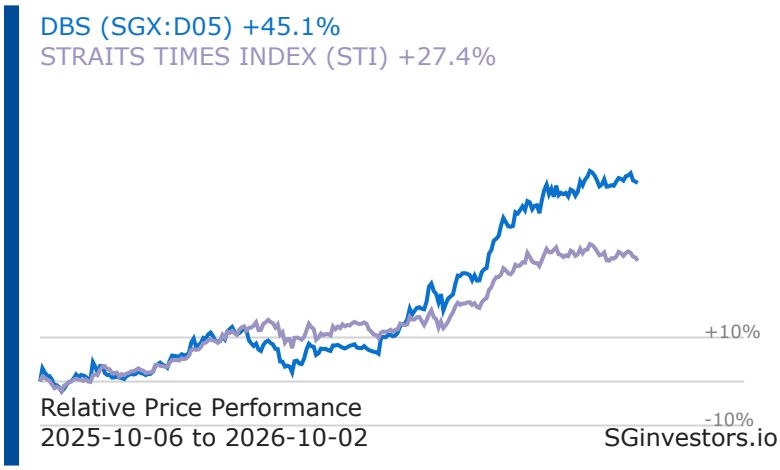
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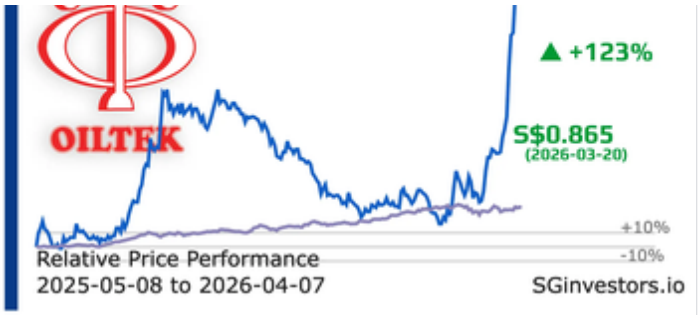
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